forgetting the stocks altogether. The same may have occurred with firms like Salomon Brothers, which began buying bond futures to hedge their in-house bond portfolios, but soon found themselves speculating in bond futures as an end in itself.

I brought all this up with Lester Telser, a professor of economics at the University of Chicago and a known expert on the organized futures markets. He was somewhat doubtful that the benefits of the futures markets outweighed the social and economic costs. If the futures markets, as presently constituted, were so important as insurance to big business, then why did various contracts go in and out of fashion, and sometimes cease to be traded? If hedging was so important to the well-being of industry, then why could so many industries survive perfectly well without it? Those are my rhetorical questions, not his.

I also contacted Jim Stone, former chairman of the Commodity Futures Trading Commission, the government agency that regulates the business. Mr. Stone did not hedge his negative opinions. "Futures trading is legalized gambling, pure and simple," was one thing he said. Another thing was, "Growth has slowed down lately, because the suckers are temporarily used up." Another: "These markets are like a dinner. The diners are the traders, the arbitrageurs, the brokers. They feed off the public customer, who is the dinner." Mr. Stone concluded by blasting the "greedy academics" paid huge fees for concluding that futures serve a useful economic purpose—which for them, of course, they do.

Mr. Epstein had mentioned that congressmen and other VIPs are paid a $1,000 fee every time they come to Chicago, just for driving their cars past the futures exchanges. Whether this helped convince Congress that futures serve an economic purpose he wasn't sure.

Another popular theory in the industry was that futures contracts were directly related to the underlying physical commodities, i.e., to real eggs, real pigs, real gold. In my limited experience, I doubted this as well. The people I saw trading soybeans would have gone on trading soybeans long after the last known soybean had been made into tofu. After a few days in Chicago, one's relationship to physical reality is revised. You begin to think like a trader, and you lose interest in tangible objects. On the floors of the two exchanges, I watched very carefully and observed that traders hardly